NSRA Sec. 3406(f) · Balanced Budget Path · Act I

A Balanced-Budget Path, Written Into Law

CBO projects federal deficits of about 6% of the economy, rising from **$1.9 trillion in 2026 to $3.1 trillion by 2036**. With its Fiscal Sustainability Plan, the NSRA pays for every program it creates and a middle-class income-tax cut, and still cuts the deficit by a modeled **$3.8 trillion over ten years**, including lower interest costs. Then it writes hard deficit limits into law and enforces them automatically.

The limits

Deadline	Limit in law
Year 4	**Deficit at or below 4.5% of GDP,** down from about 6% (Sec. 3406(f)(2)(A))
Year 8	**Deficit at or below 3% of GDP** by the end of two presidential terms, the level at which the debt stops growing faster than the economy (Sec. 3406(f)(2)(B)–(C))
Every year in between	A straight-line glide path published by CBO, so progress is measured every year (Sec. 3406(f)(2)(D))

How it is enforced

Step	What happens
August 15	CBO reports whether next year's deficit, under current law, misses the limit, and by how much
Congress acts first	A Fiscal Target Act that closes the gap gets a guaranteed vote within 30 days of session
October 1 trigger	If Congress does not act, the gap closes automatically: half by capping tax breaks for incomes over $400,000 (single) or $450,000 (joint), half by an across-the-board cut split evenly between defense and non-defense
Speed limit	New automatic adjustments are capped at 0.5% of GDP a year, so there is no sudden shock to the economy
Recession or war	Enforcement pauses and resumes afterward; deadlines move only by the length of the pause

The Fiscal Sustainability Plan (Sec. 3410)

Measure	What it does
Hospital price limit	Private insurers pay hospitals no more than twice what Medicare pays for the same service (three times for rural and critical-access hospitals). Families and employers pay lower premiums, and higher take-home pay raises federal revenue.
Medicare drug negotiation	50 drugs negotiated a year instead of up to 20, plus one payment system for post-acute care. No benefit, premium or cost-sharing changes.
Spending caps	Defense and non-defense appropriations grow at inflation minus 1.5% for ten years. Veterans' medical care is held at inflation.
High-end tax breaks	Above $400,000 of income, deductions and exclusions are worth no more than 28 cents on the dollar.
Carbon fee	Rises $5 a ton a year to $75, with half returned to households up to 400% of poverty as energy bill credits.
Waste	Every large program must cut its improper-payment rate by a third within three years.
Crop insurance	Taxpayers cover 40% of premiums on average instead of about 60%, with full support kept for beginning, veteran and smaller farmers; insurer overhead payments are capped. These savings, about $5 billion a year, go to farmers switching away from banned pesticides (Sec. 705(d)) and are not counted in the total below.

Together these save about $345 billion a year at full effect. With the core programs, the bill cuts the deficit by a modeled $3.8 trillion over ten years including lower interest costs (range $3.0–4.4 trillion). An **American Resource Fund** (Sec. 3411) also stops spending new oil, gas and offshore-wind royalties as they come in and builds a permanent fund, the way Alaska has since 1976, with half its earnings going to Social Security after Year 10.

Who is protected

No automatic cut can touch Social Security, Medicare, Medicaid, the Basic Minimum Plan, veterans' compensation and health care, SNAP, the $1,000-at-birth deposits, low-income tax credits, or military pay. The automatic tax lever applies only above the $400,000 / $450,000 income limits.

The honest math

The core programs and the middle-class tax cut pay for themselves at full ramp, and the Fiscal Sustainability Plan of Sec. 3410 supplies the deficit reduction. Our model puts the deficit at about 5.3% of GDP in Year 4 and 5.1% in Year 8, down from about 6% under current law. Reaching the Year 4 limit of 4.5% takes about 0.8% of GDP more, and the Year 8 limit of 3% about 2.1% more, from a plan Congress passes or, failing that, the automatic trigger. That is a large lift, which is why the law enforces it rather than leaving it to good intentions. A fully balanced budget within two terms is not possible without cutting Social Security, Medicare or Medicaid or raising taxes on the middle class, so the bill does not promise one. It promises a deficit low enough that the debt stops growing faster than the economy.

Operative text: Sec. 3406(f) (Title XXXIV). Severable and able to move on its own (Sec. 3406(f)(9)). Dollar figures are NSRA model projections (version 2026.10) on CBO's February 2026 baseline; CBO has not scored the bill.

Full text: theamericandeal.org/bill-text · This page: theamericandeal.org/balanced-budget · Contact: contact@theamericandeal.org · Fiscal figures are internal models, not CBO or JCT scores. Drafted by Santonio D. Sanders.